Meet the Team!



Julia
Miao
Math/FARM 1A



Susan
Ho
Math/FARM 1A



Ester
Wang
Math/FARM 1A



Teva Pharmaceuticals Industries Ltd. (NYSE: TEVA)

Recommendation: Buy | $35.18

Data cutoff eff.
Market close 26 Nov. 2025
All figures in $USD

Company Overview

Market Cap: $30.20 B

Revenue (ttm): $16.78B

EV: $43.83B





Teva is one of the world's largest pharmaceutical companies, operating across over 60 countries. The business has three major segments:

- Generics: where Teva remains No.1 globally by volume
- Specialty Medicines: Austedo and Ajovy
  - Austedo: 2025 revenue: $2.05 ~ $2.15 B
  - expanding in the market for migraine prevention
  - Grown for 11 consecutive quarters
- Biosimilars and complex generics: rapidly expanding area of development.

Investment Thesis

Teva is positioned for strong upside as accelerating specialty growth and improving financial strength reshape the company's long-term trajectory.

Company



TEVA Rise
Consumers looking to put expensive gift purchases on credit



Debt Optimization
Launched tender offers to repurchase up to $2B in senior notes

Global Market



Approval for biosimilars
EC authorization for PONLIMSI and DEGEVMA for bone-health indications across Europe.



Partnership
With Heze Hong Kong to commercialize azithromycin (Sumamed®).

Competitive Landscape

Unmatched in generics Regulations & manufacturing Dual revenue engine Strong cash generation	**S**	**W**	High debt load Legacy opioid and pricing litigation Dependence on a few specialty blockbusters
Aging population patent expiries Growth in biosimilars & complex generics Long runway in emerging markets	**O**	**T**	Pricing pressure in U.S. generics Regulatory interventions Pipeline clinical trial risk

Generics

Specialty

Macro Context

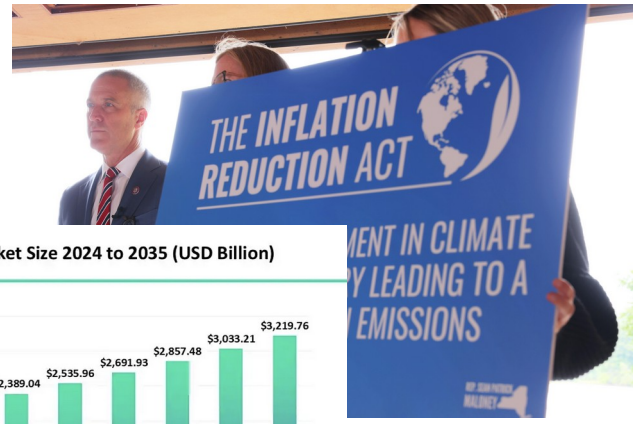
Global aging population and growing pharmaceutical market.

Growing chronic disease prevalence and rising demands for more affordable medication.

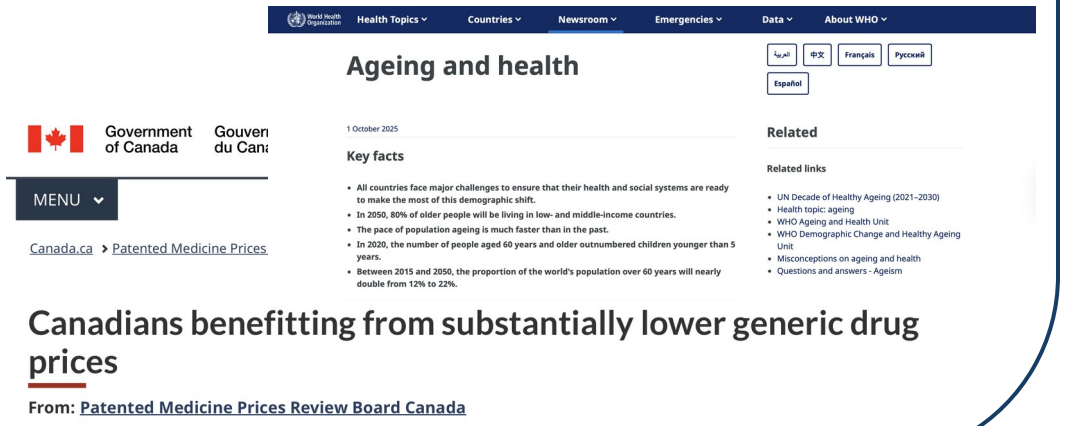
Generic drugs are significantly more affordable than brand-name drugs.

The Inflation Reduction Act targeted high-cost brand-name drugs instead of generic drugs.

Teva generates most of its revenue in USD but pays out in various currencies.







Price Correction Catalysts - External Factors

Inflation

Inflation causes lower interest rate, making it cheaper for Teva to refinance, thus costing lower interest expense and therefore higher EPS. Lower production costs but a fixed price, resulting in higher profit.

Industry Stabilization & Market Consolidation

The generic drug pricing is stable, and the market is consolidated. Teva, Sandoz and Viatris dominate the market, resulting in less competition with other smaller companies.

Major drug patent expiries

$100B+ worth of branded drugs losing exclusivity, causing a biosimilar boom, and Teva is one of the leading biosimilar companies which directly benefits from it.

Growing Demand for Affordable Healthcare

Individuals are looking for more affordable therapies, and governments want to cut the health care costs. Generic drugs meet this requirement, and Teva is the dominant generic drug maker.

Price Correction Catalysts - Internal Factors

Biosimilar Revenue

Teva launched at least 7 biosimilars in 2025, and each launch adds high-margin revenue.

Restructuring and Cost Optimization

Years of restructuring have lowered SG&A, optimized manufacturing footprints, and improved supply-chain efficiency. By cutting jobs, closing manufacturing sites globally, and consolidating production into lower-cost India & EU facilities, TEVA reduced annual costs by $3+ billion.

Highly Positive Results

The most recent data is showing *no safety problems* that held back older treatments, making Teva's drugs much more attractive for patients. High-revenue, high-margin product that boosts Teva's earnings over the next few years.

Opioid Litigation Overhang Removed

No more uncertainty and lower risk.

Key Risks and Mitigants

Risks	Mitigants
Teva's ~$16 billion gross debt load limits financial flexibility and prevents the stock from earning a higher valuation multiple.	Active capital allocation priority FCF to debt paydown, S&P credit upgrades, and proactive liabilities management.
Pivot to Growth Strategy, shifting from traditional low margin generics to higher margin innovative and biosimilar portfolio.	Austedo already delivering double digit growth, with Ajovy and Uzedy high margin opportunities, shifting to > 50% of incremental EBITDA from specialty products.
Competitive and pricing pressures from other generics and regulatory bodies (IRA).	Global diversification in ~60 countries, complex generics and biosimilars focus with higher barriers to entry and slower price erosion. Currently captures 40-50% of market share in recent launches.

Valuation - DCF Summary

Implied Share Price Calculation	
Terminal Growth Rate	2.75%
Terminal Value (2035)	75,066,200,481.55
Terminal PV	**38,801,971,483.25**
Enterprise Value	**53,457,522,126.36**
Cash	3,300,000,000.00
Debt	16,298,000,000.00
Equity Value	**40,459,522,126.36**
Diluted Shares	1,150,000,000.00
Implied share price	**35.18**
Current price	26.32
Implied upside	**34%**

WACC	
Equity	30,196,000,000.00
Debt	18,079,000,000.00
Cost of Debt	1,004,000,000.00
Tax rate	15%
Debt %	33%
Cost of Debt	**4.72%**
Risk free rate	4.00%
Market risk premium	5.50%
Levered Beta	0.7
Equity %	67%
Cost of Equity	**7.85%**
WACC	**6.82%**

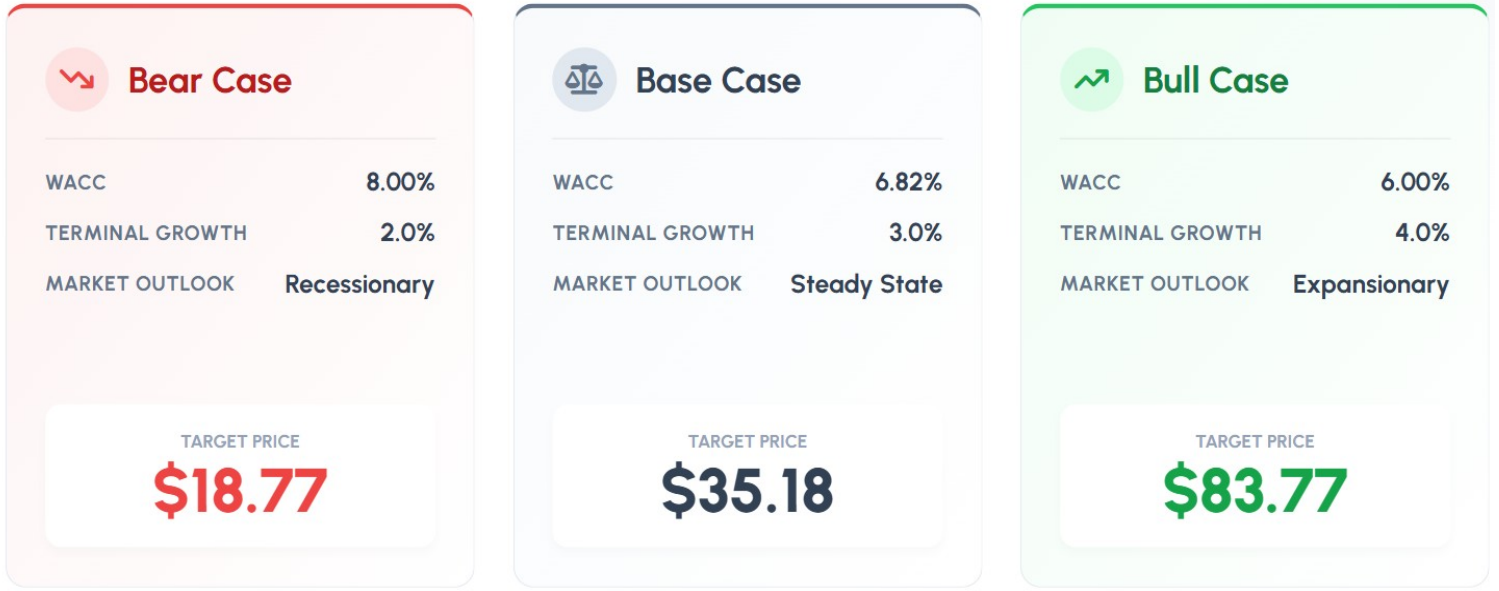
	ULFCF	Discount rate	PV of ULFCF
2025	865.9	1	865,900,000.00
2026	1,039.08	1.06822	972,724,649.81
2027	1,246.90	1.14109	1,092,728,079.86
2028	1,496.28	1.21893	1,227,536,134.46
2029	1,795.53	1.30208	1,378,975,235.62
2030	2,154.64	1.3909	1,549,097,128.04
2031	2,283.91	1.48578	1,537,182,564.46
2032	2,420.95	1.58713	1,525,359,639.32
2033	2,566.21	1.6954	1,513,627,647.78
2034	2,720.18	1.81105	1,501,985,890.45
2035	2,883.39	1.9346	1,490,433,673.32
		Sum of PVs	**14,655,550,643.12**

Key Assumptions:

- Recent 20% growth for next few years based on pivot to growth strategy, later converging to industry average CAGR 6-7%
- Terminal growth at 2.75% due to defensiveness of healthcare industry
- Improved credit metric with leverage <3x by 2027 and operating margin to approach 30% by 2027 (aligned with analyst predictions and executive goals)

Valuation – DCF Sensitivity Analysis

WACC/Terminal Value	2%	2.75%	4%
6%	39.10	47.66	**83.77**
6.82%	28.94	35.18	**44.44**
8%	18.77	22.98	**28.82**



Valuation - Comps Analysis

		Market Data			LTM Financials			Valuation		
Company	**Ticker**	**Share Price**	**Shares Out.**	**Enterprise Value**	**Revenue**	**EBITDA**	**Net Income**	**EV/Revenue**	**EV/EBITDA**	**LTM P/E**
Viatris	NASDAQ: VTRS	10.64	1150	25.72B	14124	-599	-3691	1.82	11.16	28.56
Sandoz	OTCMRKTS: SDZ	69.97	430	34.09B	10587	1051	227	3.22	32.43	133.29
Dr. Reddy's	NYSE: RDY	13.99	832	11.42B	342149	98493	58620	2.97	10.33	20.12
Sun Pharma	NSE: SUNPHARMA	20.29	2400	45.03B	5970	1833	1161	7.39	23.56	40.64
Cipla	NSE: CIPLA	17.08	807	12.56B	3064	898	604	4.01	13.76	22.39
Median								**3.22**	**13.76**	**28.56**
Teva	NYSE: TEVA	26.32	1150	37.65B	16775	2842	713	**2.61**	**15.42**	**40.97**

Commentary:

- Comps criteria: selected global generics and biosimilar manufacturers (U.S., Europe, India) with similar business models and meaningful exposure to complex generics and specialty pharma.
- Median used due to outliers and negative values etc.
- Conclusion: Teva trades below peers on all key valuation multiples, indicating clear upside potential.

- Figures in USDmm (except for shares out. and enterprise value)
- 100USD=8927.35INR

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DCF GOOGLE SHEETS (MINI APPENDIX)
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